



SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

(Established under section 3 of the UGC Act, 1956)
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Seat No.

Institute: (0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT, PUNE
Programme: (020344) MASTER OF BUSINESS ADMINISTRATION (INFRASTRUCTURE DEVELOPMENT AND MANAGEMENT)
Batch: 2024-26
Semester: I
Course: Management Accounting
Course Code: 0203440104

Date: 13/03/2025

Maximum Marks: 40

Day: Thursday

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:

- 1) All questions are compulsory. The marks against each question are given in brackets.
- 2) Only calculators are permitted for the examination.

Q.1 ABC Ltd manufactures blue jeans. The standard price and standard quantity are given. The company has produced and sold 5000 pair in June. The actual cost incurred in June is also given.

Based on the above information calculate the following: **(CO2) (2+2 +1marks)**

- a. Total standard cost per pair of jeans
- b. Cost variance
- c. Comment on the variance.

Manufacturing costs	Standard price	Standard quantity per pair
Direct material	Rs. 5 per sq. mtr	1.50 sq. mtr
Direct labor	Rs. 9.00 per hour	0.80 hour per pair
Factory overhead	Rs. 6.00 per hour	0.80 per pair

Actual cost incurred in June	
Direct material	Rs. 40,150
Direct labour	Rs. 38,500
Factory overhead	Rs. 22,400
Total cost incurred	Rs. 101,050

- Q.2** ABC Ltd. manufactures gift items. The sales price of the product is Rs.120 per unit. The variable cost is Rs.80 per unit and fixed costs are Rs.88,000. Determine the break-even point in sales units.

Determine the sales units required for the company to achieve a target profit of Rs. 32,000. (2+2 marks) (CO2)

- Q.3** Explain any two of the following terms with reference to Management Accounting: (CO1) (4 marks)
- Management by exceptions
 - Flexible budget
 - Operating Leverage

- Q.4** JK Limited has provided the below mentioned financial information for the last two years.

Rs. Crores	March 2023	March 2024
Shareholders' Equity	1,472	2,377
Borrowings / Loans	3,083	3,570
Total Assets	8,349	9,884
Sales	13,882	22,165
EBIT	586	170
Pre-tax profit	481	57
Net Profit	289	34

Based on the above:

- Compute the Return on Equity (RoE) for JK Limited for the two-years
- Conduct a 3-stage Du-Pont Analysis of the RoE and evaluate the reason for changes in the RoE between 2023 and 2024 based on this analysis

(CO 4) (Marks - 2+5+3)

- Q.5** For each of the items below, state which section of the Cash Flow Statement would they appear in – Operating Activities, Investing Activities or Financing Activities. The first one is done for your reference (CO 1) (Marks 6) (1 mark for each item)

Item	Cash flow section
Issue of Equity shares by a company	Financing Activities
Collection of dues from customer (i.e. reduction in receivables)	
Depreciation and Amortization	
Purchase of equipment for expanding operations	
Payment of dues to suppliers (i.e. reduction in Payables)	
Interest received on Fixed Deposits made by the firm	
Repayment of loan taken from the bank	

Q.6 (a) ABC Ltd. collects 70% of its sales on account in the month of sales and 30% in the month following sales. If the sales on account are budgeted to be Rs.650,000 for March and Rs. 800,000 for April, what are the budgeted cash receipts from sales on account for April?

(b) ABC Ltd. projected sales of 300,000 diaries for the year 2025. The estimated 1st January 2025 inventory is 20,000 units and the desired 31st December 2025 inventory is 30,000 units. Prepare a Production Budget for ABC Ltd. in units for the year?

(CO4) (2+2 marks)

Q.7 The following information has been obtained from the records of ABC Limited for the period from June 1 to June 30, 2024.

	On June 1, 2024 in Rs.	On June 30, 2024 in Rs.
Cost of Raw materials Stock	60,000	50,000
Cost of work-in –progress Stock	12,000	15,000
Cost of stock of finished goods	90,000	1,10,000
Purchases of raw materials during June 2024		4,80,000
Wages paid		2,40,000
Factory overhead		1,00,000
Administrative overheads		50,000
Selling and distribution overhead		25,000
Sales		10,00,000

Prepare a statement giving the following information:

- Raw materials consumed
- Prime cost
- Factory cost
- Cost of goods sold
- Net profit

(CO1) (1+1+2+2+1 marks)